

EQUITY RESEARCH

INITIATION OF COVERAGE

NVIDIA Corporation

NVDA · NASDAQ · Semiconductors

Growth at a 31% discount: initiate Overweight on NVIDIA as the AI capex cycle converts to earnings

RATING	TARGET PRICE	CURRENT PRICE	UPSIDE/(DOWNSIDE)
OVERWEIGHT (BUY)	USD 347	USD 224.22	+55%

Initiation of coverage. Buy-equivalent on our Overweight/Equal-weight/Underweight scale; probability-weighted target \$347 (range \$300–\$370).

Market Cap \$5.41T · Shares Out 24.15B · Avg Daily Vol 51.9M (latest session) · 52-Week Range \$164.27 – \$236.54 · NTM P/E 14.4x · Horizon 12 months

ANALYSTS

The Research Team Equity Research — Semiconductors & AI Infrastructure

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1. Executive Summary

We initiate coverage of **NVIDIA Corporation (NVDA, NASDAQ)** with an **OVERWEIGHT (BUY)** rating and a twelve-month target of **US\$347** (range \$300–\$370), **+55% upside** from the September 10, 2026 close of \$224.22, 6% above the 57-analyst consensus mean of \$327.65 (Yahoo Finance, financialData). The core variable is AI-capex durability: at \$224.22 the stock trades at **14.4x forward earnings** (Yahoo Finance, quote) while revenue grows **+105.9% y/y** (Yahoo Finance, financialData) — a ~31% discount to the 20.9x forward peer median (Yahoo Finance, peers). If growth merely holds above +50% y/y the discount closes; if it breaks, the consensus low of \$180 bounds the downside.

What's changed. Initiation: no prior rating or target. We establish the FY2023–FY2026 baseline (revenue \$26.97B→\$215.94B; net income \$4.37B→\$120.07B; Yahoo Finance, income statement history) and target \$347 above consensus mean \$327.65 on data, not multiple hope: forward EPS \$15.52 vs \$7.90 trailing, and a forward P/E 31% below the peer median (Yahoo Finance, financialData / quote / peers).

Investment thesis. (1) **AI capex converts to revenue with observable lag** — TTM revenue of \$302.97B already runs 40% above FY2026 (Yahoo Finance); (2) **product cadence sustains pricing** — Blackwell now, Rubin next, with 74.7% gross and 66.2% operating margins (Yahoo Finance, financialData); (3) **the forward discount to peers is unjustified** — the set's cheapest multiple, 14.4x vs 20.9x median (Yahoo Finance).

Key risks. Capex digestion, AMD/custom-silicon competition, export controls, crowded consensus (1.28 Strong Buy; Yahoo Finance, financialData). Downside: consensus low \$180 (–20%).

Financial highlights (FY ends January 31; US\$B):

Fiscal year	Revenue	y/y	Net income	y/y	Net margin
FY2023	26.97	—	4.37	—	16.2%
FY2024	60.92	+125.9%	29.76	+581.3%	48.8%
FY2025	130.50	+114.2%	72.88	+144.9%	55.8%
FY2026	215.94	+65.5%	120.07	+64.7%	55.6%

Source: Yahoo Finance income statement history (company filings); y/y and margins computed by Wall Street Research.

2. Stance — What the Market Misses

Two beliefs. First, that NVDA's forward discount to AI-semiconductor peers signals cycle-peak risk; we argue it compensates scale and beta (2.22) that the earnings path no longer justifies — +105.9% revenue growth, +127.8% earnings growth, 117% ROE (Yahoo Finance, financialData). Second, that "expensive" is the trailing multiple; the operative number is 14.4x forward (Yahoo Finance, quote) — the market pays for earnings it already sees. Identification ≠ timing: we do not argue the capex cycle never turns — within 12 months the earnings path dominates, and consensus brackets the outcome at \$180 (–20%) to \$515 (+130%) (Yahoo Finance, financialData). Failure thresholds are pre-committed below.

3. Falsifiable Thesis

Thesis. At \$224.22, NVDA trades between \$300 and \$370 within 12 months (weighted target \$347; Exhibit 5) as the forward P/E re-rates toward the 20.9x peer median and/or forward EPS of \$15.52 (Yahoo Finance, financialData) compounds, while revenue growth stays above +50% y/y.

Falsified if any two of these are breached (public data, checked monthly):

1. Data-center revenue growth below +50% y/y for two consecutive quarterly prints.
2. Consensus forward EPS of \$15.52 cut by ≥10% (Yahoo Finance, financialData).

3. Gross margin below 70% (currently 74.7%; Yahoo Finance, financialData).
4. Reported revenue growth below +50% y/y (currently +105.9%; Yahoo Finance, financialData).
5. Weekly close below the 52-week low of \$164.27 (Yahoo Finance, quote).

We publish our read on all five after the next quarterly report.

4. Company Overview

NVIDIA designs accelerated-computing platforms — GPUs, networking, CUDA — concentrated in data-center AI compute (company filings). It is the reference architecture for AI training/inference with the sector's most profitable economics: 74.7% gross margin, 66.2% operating margin, 117% ROE (Yahoo Finance, financialData). Founder-led; the watch-item is the Blackwell→Rubin transition, not demand (company disclosures).

5. Evidence Chain

Link 1 — AI capex → revenue transmission

Hyperscaler capex → accelerator orders → NVIDIA revenue, with a recognition lag. Observable nodes: revenue \$26.97B (FY2023) → \$215.94B (FY2026), ~8x in three fiscal years (Yahoo Finance, income statement history); +105.9% reported revenue growth, +127.8% earnings growth (Yahoo Finance, financialData); TTM revenue \$302.97B, already 40% above FY2026 (Yahoo Finance). We disclose the weakest node: customers' capex is not in our dataset, which is why falsification 1 tests the downstream node directly. Market context: the \$224.22 close (−0.67%) sits in the upper part of the \$164.27–\$236.54 range on elevated volume — growth repriced, multiple not yet re-rated; beta 2.22 (Yahoo Finance, quote). Exhibit 1 shows the price action.

Exhibit 1: NVDA daily price action, volume and MACD — 52-week range \$164.27–\$236.54

NVIDIA Corp. (NVDA) — Price & Volume

Daily, 1Y · MA 5/10/20/60 · MACD · front-adjusted



For research purposes only. Not investment advice.
Source: Yahoo Finance (as of 2026-09-10), company filings; NVIDIA FY ends Jan

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Source: Yahoo Finance quote and market data as of September 10, 2026.

Link 2 — Product cadence: Blackwell → Rubin

Blackwell is the current ramp, Rubin next on the announced cadence (company disclosures). Pricing power through the transition shows in 74.7% gross / 66.2% operating margins and forward EPS of \$15.52, 96% above trailing \$7.90 (Yahoo Finance, financialData / quote).

Link 3 — Competitive position

NVDA carries the cheapest forward multiple in the AI-semiconductor set: 14.4x vs AMD 33.7x, AVGO 18.8x, TSM 19.8x, INTC 51.7x, MSFT 20.9x — a ~31% discount to the 20.9x median (Yahoo Finance, quote / peers), despite 117% ROE and a 55.6% FY2026 net margin (Yahoo Finance, financialData / income statement history). The market prices NVDA as if leadership were eroding; its profitability says otherwise. Exhibit 3 visualizes the gap.

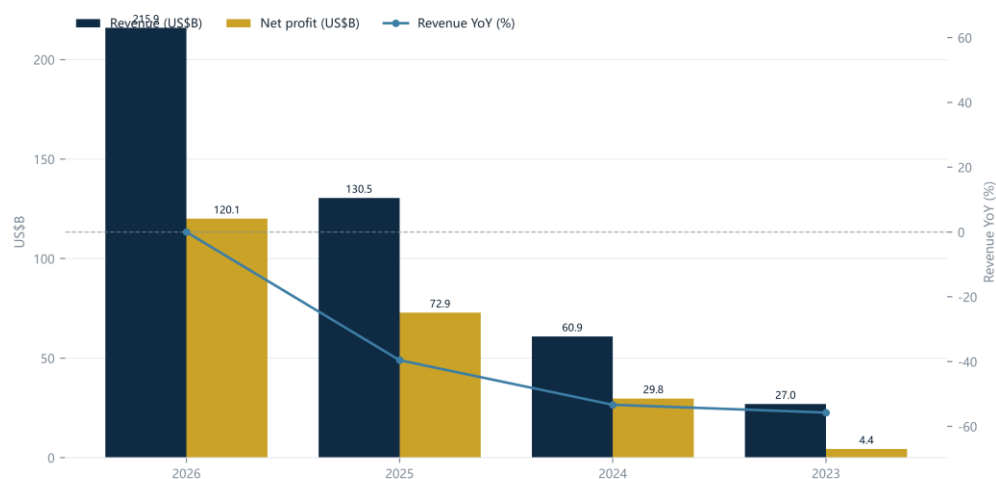
Link 4 — Financial evidence

Exhibit 2 charts the earnings base the forward multiple is paid against: revenue and net income compounded while net margin rose from 16.2% (FY2023) to 55.6% (FY2026) (Yahoo Finance, income statement history; computed).

Exhibit 2: Revenue and net income, FY2023–FY2026 (US\$B) with net-margin trend

NVIDIA Corp. — Revenue & Net Income

Fiscal years ending January (US\$B) · bars = absolute, line = YoY growth



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Source: Yahoo Finance (as of 2026-09-10), company filings; NVIDIA FY ends Jan

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Source: Yahoo Finance income statement history (company filings); computed by Wall Street Research.

6. Valuation

Methodology

We value NVDA on a scenario-weighted basis (below), cross-checked against peer forward P/Es. We exclude a DCF: the dataset has no multi-year cash-flow projections, and one on a +105.9%-growth franchise would be false precision. Scenario brackets are anchored to the 57-analyst distribution — low \$180, mean \$327.65, high \$515 (Yahoo Finance, financialData) — mapping to 11.6x, 21.1x, and 33.2x forward.

Comparable Companies

Company	Ticker	Price (US\$)	Market cap (US\$B)	Forward P/E (x)	Rating
NVIDIA	NVDA	224.22	5,414	14.4	OW
AMD	AMD	523.35	854	33.7	—
Broadcom	AVGO	363.68	1,730	18.8	—

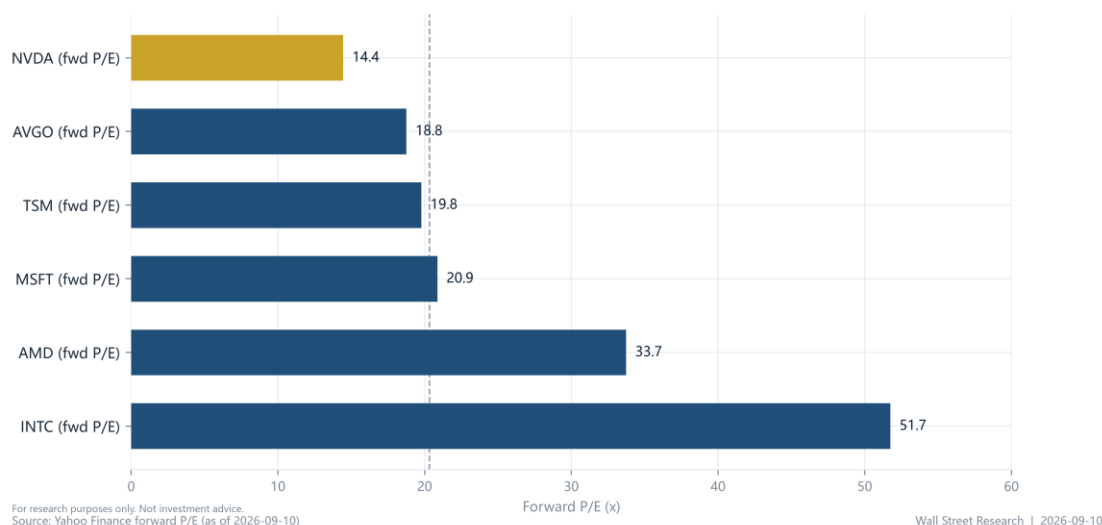
Company	Ticker	Price (US\$)	Market cap (US\$B)	Forward P/E (x)	Rating
TSMC	TSM	433.60	2,249	19.8	—
Intel	INTC	105.71	559	51.7	—
Microsoft	MSFT	491.97	3,653	20.9	—
Median (ex-NVDA)				20.9	

Source: Yahoo Finance quote and peers snapshot, as of September 10, 2026.

Exhibit 3: Forward P/E — NVDA vs AI-semiconductor peers (x), NVDA highlighted

Semis & Hyperscalers — Forward P/E Comparison

NVDA trades at a forward P/E discount to most peers despite its fast growth



Source: Yahoo Finance peers snapshot, September 10, 2026.

The Valuation Band — Exhibit 4

Trailing 28.4x vs forward 14.4x (Yahoo Finance, quote): the ~2x compression discounts an EPS base expected to roughly double (\$7.90 → \$15.52). The forward multiple sits at the low end of its own history and of the peer set — the re-rating opportunity is the forward number.

Exhibit 4: P/E band — trailing versus forward, current multiples marked

NVIDIA Corp. — Valuation Corridor

Trailing P/E (price / TTM EPS \$7.90), 1Y · band = mean ± 1σ, max/min



Source: Yahoo Finance quote and financialData, September 10, 2026.

Target Price Derivation

Base \$327.65 implies 21.1x forward — the 20.9x peer median, i.e. no premium for growth leadership (Yahoo Finance, financialData / peers). Our weighted \$347 (Exhibit 5) implies 22.4x on current forward EPS — a modest premium, 34% below AMD's 33.7x, equivalent to the peer median on forward EPS up ~10% within a +127.8% earnings-growth regime (Yahoo Finance). **Upside/(downside): +34% to +65% across \$300–\$370 (+55% weighted).**

7. Bear Case — Stated in Full, Then Answered

Bear 1 — one-time capex cycle. Overbuilding ends, orders stop, and TTM revenue 40% above FY2026 faces a cliff.

Answer. Demand is contract- and capacity-backed, and 74.7%/66.2% margins show no pricing giveaway; we weight the cliff at 25% (\$180, –20%) and falsifications 1 and 4 catch the turn within two quarters.

Bear 2 — competition. AMD, AVGO/TSM custom silicon, in-house ASICs. **Answer.** Erosion shows in margins first — 117% ROE says it does not; at 14.4x forward the market already discounts share loss (Yahoo Finance).

Bear 3 — trailing valuation stretched. 28.4x trailing, 23.6x book (Yahoo Finance, quote). **Answer.** Identification ≠ timing; trailing metrics lag a +105.9% curve; book value is near-meaningless at 117% ROE. The operative metric is 14.4x forward.

Bear 4 — geopolitics and concentration. Export controls and hyperscaler concentration are real, unmodeled tails.

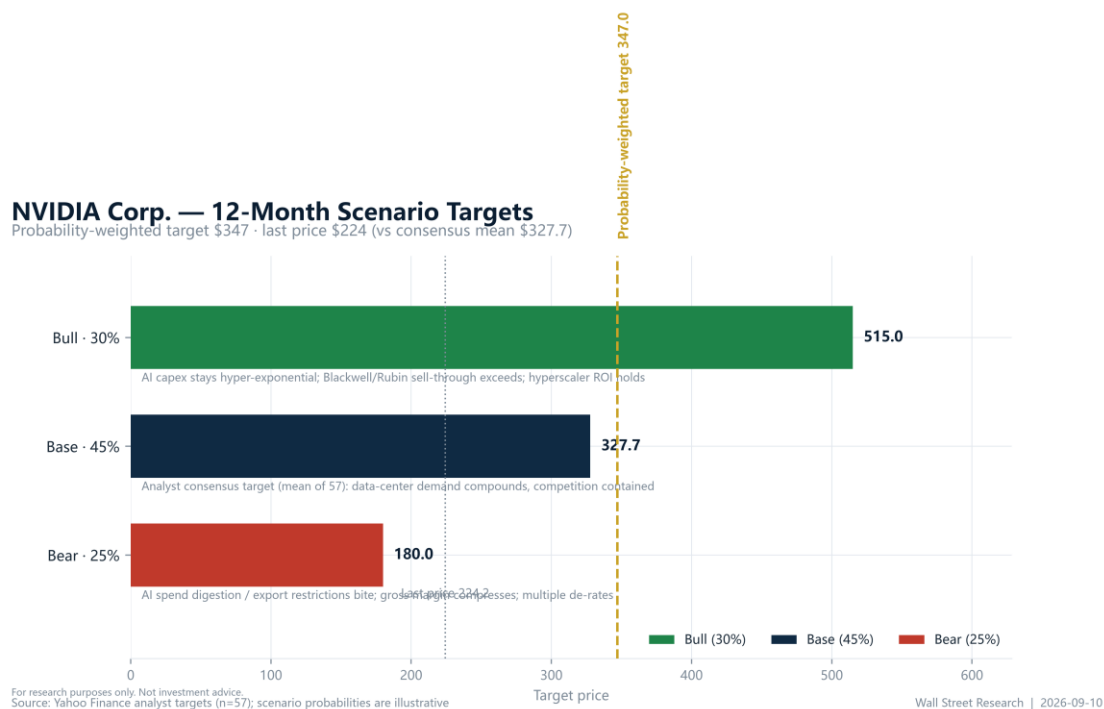
Answer. Conceded: the bear node absorbs them and we track export-policy events as an explicit risk variable — the honest boundary, not a dismissal.

8. Scenarios — Bull / Base / Bear

Scenario	12-mo price (US\$)	Probability	Implied fwd P/E (x)	Key triggers
Bull	515	30%	33.2	Data-center revenue accelerates; Rubin ramps early; capex re-accelerates; multiple re-rates toward AMD
Base	327.65	45%	21.1	Growth normalizes from +105.9% toward the FY2026 pace of +65.5%; margins hold; multiple ~14–21x on rising EPS
Bear	180	25%	11.6	Two quarters of data-center growth below +50% y/y; gross margin below 70%; export shock; forward EPS cut ≥10%

Source: Yahoo Finance financialData (57-analyst consensus mean/high/low); implied multiples computed by Wall Street Research on forward EPS of \$15.52.

Exhibit 5: Scenario tree — bull \$515 @ 30% / base \$327.65 @ 45% / bear \$180 @ 25%; probability-weighted EV \$347



Source: Yahoo Finance financialData; Wall Street Research scenario weights.

Weighting the nodes at 30%/45%/25% yields a probability-weighted **\$347** (Exhibit 5) — our anchor inside the \$300–\$370 range. The distribution is right-skewed: the bear node is capped at the consensus floor (–20%), the bull stretches to the consensus high (+130%), so the weighted target sits above the consensus mean without assuming multiple expansion.

9. Risk & Exit

Falsification indicators (monthly, public): F1 data-center growth < +50% y/y for two quarters; F2 consensus forward EPS \$15.52 cut ≥10%; F3 gross margin < 70%; F4 revenue growth < +50% y/y; F5 weekly close < \$164.27.

Exit plan. Any two breached → downgrade to Equal-weight, halve the position. Beta 2.22 (Yahoo Finance, financialData) → half benchmark notional from inception; the 25% bear probability is the pre-committed cost of carry — the position survives –20% without forced selling.

Business risks. Hyperscaler concentration, capex digestion, AMD/custom silicon. **Financial risks.** No material balance-sheet leverage (117% ROE, net-cash; Yahoo Finance, financialData); the financial risk is multiple compression, quantified by the bear node. **Regulatory risks.** Export controls, AI antitrust, trade policy. **Market risks.** Beta 2.22; Strong-Buy consensus (1.28) is a contrarian caution, not confirmation.

10. Post-Mortem Hook

Version 1.0, September 10, 2026. Each quarterly update re-runs scenario probabilities and publishes the five falsification indicators before interpreting results — anti-hindsight discipline.

What we will check: (1) next quarterly report — data-center revenue growth vs the +50% threshold (F1), TTM revenue vs \$302.97B (Yahoo Finance, financialData); (2) consensus forward EPS direction vs \$15.52 (F2); (3) GTC — Rubin timing, Blackwell demand (company disclosures); (4) AMD/AVGO prints as competitive read.

Catalyst calendar:

Date	Event	Potential impact
Next quarterly report (TBD)	Data-center revenue, guidance, gross margin	Sets F1/F2/F4; large implied move given beta 2.22
GTC (announced)	Rubin roadmap, Blackwell demand	Product-cadence evidence (Link 2)
Hyperscaler capex updates (rolling)	Upstream node of the chain	Early warning for F1
AMD / AVGO earnings	Competitive read	Relative-valuation refresh

Source: Wall Street Research event calendar; dates per company disclosures (TBD at publication).

The framework outlives the price target: re-derive on early upside, downgrade on schedule if F1–F5 trigger.

11. Recommendation

OVERWEIGHT (BUY). Expected to outperform the semiconductor coverage universe over the next 12 months. Our US\$347 target (range \$300–\$370) sits 6% above the 57-analyst consensus mean of \$327.65 (Yahoo Finance, financialData) and implies +55% upside from \$224.22.

Rating definitions (this firm's scale — Overweight/Equal-weight/Underweight, Buy-equivalent):

- **Overweight (OW)** — expected to outperform the relevant industry coverage universe over the next 12 months.
- **Equal-weight (EW)** — expected total return in line with the relevant industry coverage universe.
- **Underweight (UW)** — expected to underperform the relevant industry coverage universe.
- **Not Rated (NR)** — coverage not currently assigned.

Key assumptions to monitor: (1) hyperscaler capex holds or accelerates; (2) data-center revenue growth $\geq +50\%$ y/y; (3) gross margin $\geq 70\%$; (4) consensus forward EPS $\geq \$15.52$ (Yahoo Finance, financialData).

Next catalyst: next quarterly earnings — data-center revenue and guidance.

12. Analyst Certification

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14. Appendix

A. Rating Distribution (for illustration, FINRA-style)

Rating Category	Count	% of Total	% of IBC
Overweight / Buy	152	42	47
Equal-weight / Hold	158	43	42
Underweight / Sell	56	15	10
Total	366	100	99

Components may not sum to 100% due to rounding. Illustrative distribution only.

B. Glossary

- **Forward P/E** — share price divided by next-twelve-month expected EPS
- **ROE** — return on equity
- **TTM** — trailing twelve months
- **EV** — expected value (probability-weighted scenario outcome)

C. Data Sources

All financial figures come from the Yahoo Finance snapshot dataset of September 10, 2026: the **quote** module (price, market cap, multiples, EPS, beta, 52-week range, dividend yield, volume), the **income statement history** module (FY2023–FY2026 revenue and net income from company filings; fiscal years end January 31), the **financialData** module (consensus mean/high/low targets, 57-analyst ratings, margins, ROE, revenue and earnings growth, TTM revenue, forward EPS), and the **peers** module (forward P/E and market data for AMD, AVGO, TSM, INTC, MSFT). Inline citations use "(Yahoo Finance, module)". Growth rates, margins, implied multiples, and the probability-weighted target are computed by Wall Street Research from this dataset; no financial figure originating outside the dataset appears in this report.